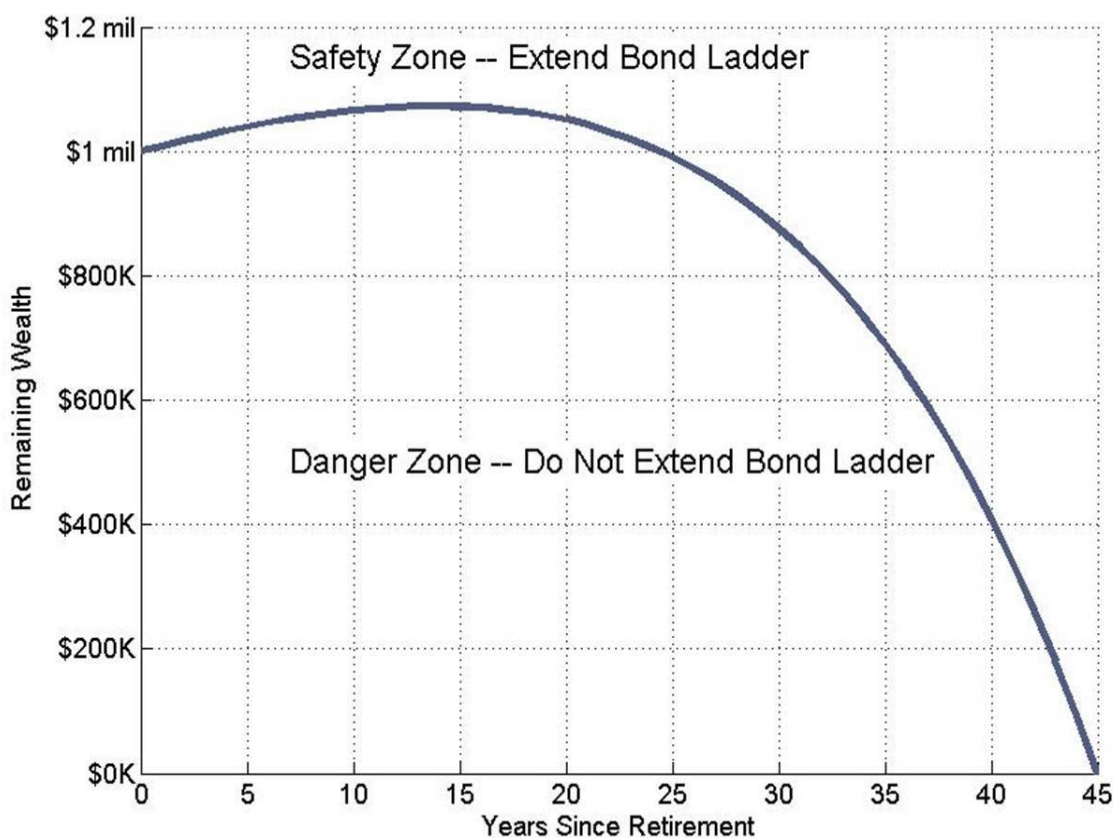


be during each year of retirement to be on a sustainable path toward meeting her retirement goal. Having wealth above the glide path represents a safety zone, while retirement is in more dangerous territory whenever wealth falls below its critical path value.

Exhibit 7.18

Critical Path for Sustainable Retirement Wealth

To Support an Initial \$40,000 with a 2% COLA for 45 Years



In each year of retirement, the retiree can compare the current value of her remaining wealth to the critical path value of wealth. If her actual wealth exceeds the critical path, then she is in good shape with extra discretionary wealth. But when her actual wealth falls below the critical path, she is falling behind in terms of being able to meet her full retirement goal. In the context of this discussion, the bond ladder can be extended further when wealth is above the critical path, but the ladder is not extended during years when wealth falls below the critical path. One instead seeks hope for growth assets